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County: los-angeles

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Case Number: 24STCV25139 Hearing Date: June 23, 2026 Dept: 1

Preliminary

Approval of Class Action Settlement

Department

SSC-1

Hon.

Theresa M. Traber

Hannah

Gunio v. 11 Pier Ave. LLC, et al.

Case No.: 24STCV25139

Hearing: June 23,

2026

TENTATIVE

RULING

The Court’s tentative ruling is to GRANT preliminary approval contingent on the parties addressing the following:

1) The Settlement Agreement is not signed by Plaintiff's counsel or Defendants' counsel. The Court requires a fully executed agreement to grant preliminary approval.

2) According to the definition of "Class," the relevant employment period for this action is February 1, 2022, to November 30, 2022. (¶1.5) According to the definition of "Class Period" the relevant period is October 1, 2021, to July 14, 2025. Clarify the dates for the relevant period and revise the Agreement, Notice, and Proposed Order, if necessary. Moreover, revise the Notice at page 1, as it currently lists both time periods.

3) If the Class Period is limited from February 1, 2022, to November 30, 2022, why does the PAGA Period (September 30, 2023, to July 14, 2025) extend beyond the Class Period? (¶1.31)

4)

Settlement

administration costs are listed as $3,950 in ¶1.3 of the Settlement Agreement

and as $5,000 in ¶3.2.3. The Notice

lists administration costs as $5,000, but parts of the moving papers list it as

$3,950. (Notice, ¶3.2.) Clarify which amount is correct and revise

the Agreement and moving papers, as necessary.

5)

According to the

Settlement Agreement, "[t]he Administrator will calculate each Individual Class

Payment by (a) dividing the Net Settlement Amount by the total number of Class

Member Pay Periods worked by all Class Members and (b) multiplying the result by

each Participating Class Member's Class Member Pay Periods." (¶3.2.4)

"Non-Participating Class Members will not receive any Individual Class

Payments. The Administrator will return to Defendants amounts equal to what

would have been paid to Non-Participating Class Members as their Individual

Class Payments." (¶¶3.1, 3.2.4.2,

12.2) Why is the remainder not being

distributed to the rest of the Class Members based on the number of workweeks? Provide justification for the reversion. (Cundiff v. Verizon California, Inc.

(2008) 167 Cal.App.4th 718, 728–729.)

6)

According to ¶4.4.3, funds remaining from uncashed Individual Class Payment or Individual PAGA Payment checks will be transmitted to "Legal Aid at Work, a Court-approved nonprofit organization or foundation consistent with Code of Civil Procedure section 384, subdivision (b) ('Cy Pres Recipient'), thereby leaving no 'unpaid residue' subject to the requirements of Code of Civil Procedure section 384, subdivision (b)." However, the existence of a cy pres necessarily implies that there will be an "unpaid residue" comprising uncashed settlement checks, and the funds from those uncashed settlement checks will be directed to the cy pres. Please remove "thereby leaving no 'unpaid residue' subject to the requirements of California of Civil Procedure Section 384, subd. (b)" from ¶4.4.3.

a. In addition, detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384, which requires that the Court re-open judgments following the final distribution of funds to identify the cy pres recipient in the judgment and include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

b. Why is it proper for Aggrieved Employees' uncashed checks to be directed to a cy pres recipient instead of the State Controller's Unclaimed Property Fund?

c. Explain why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

d. Provide declarations disclosing the interest or involvement (or lack thereof) by Plaintiff’s counsel, Defendants’ counsel, and Defendant in the governance or work of the cy pres recipient. Alternatively, direct all uncashed checks to the State Controller’s Office.

7) Class Counsel states that “the parties conducted informal discovery and investigation of the facts and law regarding a sample of putative class members.” (Elster Decl., ¶7.) Provide more information regarding the sample, such as the percentage of data reviewed, and whether counsel relied on an expert’s analysis. Demonstrate that the sample is statistically reliable.

8) The Participating Class Member Release in the Settlement Agreement at ¶5.2 is overbroad. The Release must be limited to claims alleged in the Operative Complaint or claims which could have been reasonably

alleged in the Operative Complaint based on the facts and claims actually alleged in the Operative Complaint.

Class members should not release claims alleged in the PAGA Notice or "claims that arise from the claims and legal theories and primary rights associated with the claims alleged in the Operative Complaint, amended complaints, and the PAGA Notice." (Agreement, ¶5.2 [Emphasis added].) Revise accordingly.

9) The Aggrieved Employee Release should be limited to claims alleged in the PAGA Notice and the Operative Complaint or claims that could have reasonably been alleged based on the facts in the PAGA Notice or Operative Complaint. Aggrieved Employees should not release claims "based on the Labor Code claims alleged in the Operative Complaint," only claims for PAGA penalties. (Agreement, ¶5.3) Revise accordingly.

10) There is no indication that the Class Notice will be sent in any language other than English. Explain why an English-only notice is sufficient.

11) Address the following issues in the Notice:

a. Ensure that the definition of “Class Member” presented on page 1 of the Notice clarifies that the settlement refers to “all current and former non-exempt hourly-paid employees.” (Agreement, ¶1.5)

b. The amount of litigation costs is listed as $10,000 in the Notice at ¶3.2; whereas the amount of litigation costs is listed as $15,000 in the Agreement at ¶3.2.2. Clarify which amount is correct and revise the Notice or Agreement, as necessary.

c. The Notice does not define “Released Parties,” as set forth in ¶1.41 of the Agreement. (Notice, ¶¶3.9-3.10) Please include this information in the Notice.

d. The Notice at ¶¶6 and 7 should clarify that requests for exclusion and written objections may be submitted to the Administrator via email or mail, as set forth in the Settlement Agreement at ¶¶1.43, 7.5.1, 7.7.2.

The Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns. The parties are directed to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by ________________________________. The Court sets a non-appearance case review for __________________________________ to review the supplemental papers, which are due at least five court days beforehand. The hearing on the motion for final approval is set for _____________________ at 10:30 a.m.

BACKGROUND

This is a wage and hour class action. Pier Ave. LLC ("11 Pier") and Justin Safier ("Safier") operate a restaurant and bar in California employing non-exempt hourly employees, including bartenders and servers.

On September 30, 2024, Plaintiff Hannah Gunio ("Plaintiff" or "Gunio"), individually and on behalf of all others similarly situated, filed a putative class action complaint against Defendants 11 Pier, Safier, and Does 1 through 100 (collectively, "Defendants") asserting claims for (1) meal break violations, (2) wage statement violations, (3) willful failure to pay final wages, (4) conversion, and (5) unfair business practices.

On September 30, 2024, Plaintiff provided written notice to the Labor and Workforce Development Agency ("LWDA") and Defendants pursuant to Labor Code section 2699.3, regarding alleged violation of the Labor Code. (Declaration of Steven Elster ("Elster Decl."), ¶4, Ex. 2.)

On December 19, 2024, Plaintiff filed a First Amended Complaint ("FAC") adding a claim pursuant to the Private Attorneys General Act ("PAGA").

On January 10, 2025, Plaintiff filed a Second Amended Complaint ("SAC") adding a claim for failure to pay minimum wage.

On March 20, 2026, the Court granted Plaintiff leave to file another amended complaint that would narrow the class claims and dismiss certain claims with prejudice, pursuant to the stipulation of the parties. On the same day, Plaintiff filed a Third Amended Complaint ("TAC") narrowing the class and asserting the following claims: (1) meal break violations, (2) wage statement violations, (3) willful failure to pay final wages, (4) conversion, (5) failure to pay minimum wage, (6) unfair business practices, and (7) PAGA.

On May 14, 2025, the parties attended a full-day mediation presided over by Craig Ackermann, Esq. of Employment Mediation Corp., but did not reach a settlement. (Elster Decl., ¶9.)

Prior to the second mediation, Defendants provided Plaintiff with documents corroborating their financial status and data regarding a subset of the original putative class. (Ibid.) On July 14, 2025, the parties participated in a second mediation with Mr. Ackermann, which resulted in a settlement. (Id. at ¶10.) A copy of the Class Action and PAGA Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to counsel Elster's declaration as Exhibit 1. (Id. at ¶2, Ex. 1.) [The Agreement is not signed by either Plaintiff's counsel or Defendants' counsel.]

Now before the Court is the Motion for Preliminary Approval of Class and Representative Action Settlement ("MPA"), filed on June 1, 2026.

SETTLEMENT

CLASS DEFINITION

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“Class”

means all current and former non-exempt hourly-paid employees, in positions including bartenders and servers, who were compensated, at least in part, with tips from February 1, 2022 until November 30, 2022 and who worked for Defendant 11 Pier Ave. LLC during the Class Period. (¶1.5)

o “Class Period” means the period from October 1, 2021 to July 14, 2025. (¶1.12)

o According to the definition of “Class,” the relevant period of employment for this action is February 1, 2022, to November 30, 2022. (¶1.5)

According to the definition of “Class Period,” the relevant period is October 1, 2021, to July 14, 2025.

Clarify the dates for the relevant period and revise the Agreement, Notice, and Proposed Order, if necessary.

Moreover, revise the Notice at page 1, as it currently lists both time periods.

.

“Aggrieved

Employee" means those members of the Class who were employed by Defendant 11

Pier Ave. LLC during the PAGA Period. (¶1.4)

o "PAGA Period" means the period from September 30, 2023 to July 14, 2025. (¶1.31)

§

If the Class

Period is limited from February 1, 2022, to November 30, 2022, why does the

PAGA Period (September 30, 2023, to July 14, 2025) extend beyond the Class

Period? (¶1.31)

.

"Class

Member" or "Settlement Class Member" means a member of the Class, as either a

Participating Class Member or Non-Participating Class Member (including a

Non-Participating Class Member who qualifies as an Aggrieved Employee). (¶1.9)

o "Participating Class Member" means a Class Member

who does not submit a valid and timely Request for Exclusion from the

Settlement. (¶1.35)

.

"Defendants"

means named Defendants 11 Pier Ave. LLC and Justin Safier. (¶1.16)

.

The

Parties, Class Counsel and Defense Counsel represent that they are not aware of

any other pending matter or action asserting claims that will be extinguished

or affected by the Settlement, except that Defendants are aware of two other

possible individual matters, and if those individuals are Class Members, they

will be able to opt-out of the settlement if they wish to preserve their rights

in their individual matters. (¶2.6)

.

The

Parties agree that class certification and representative treatment is for

purposes of this Settlement only. (¶12.1)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as

follows:

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The

Gross Settlement Amount is $120,000. (¶¶1.22, 3.1)

o None of the Gross Settlement Amount will revert

to Defendants, except that if any Class Members opt out of the Settlement, Defendants have the right to retain the opt-outs Individual Class Payment. (¶3.1)

§

Provide

justification for the reversion.

o Based on its records, Defendants represent that

(1) there are 33 Class Members who worked a total of 958 Class Member Pay

Periods during the Class period and (2) there are no more than 33 Aggrieved

Employees who worked a total of 241 PAGA Pay Periods during the PAGA Period.

The Administrator shall provide total Class Member Pay Periods and/or PAGA Pay

Periods to Class Counsel upon request.

(¶8)

.

The

Net Settlement Amount (“Net”) ($47,500)

is the Gross Settlement Amount minus the following:

o Up to $40,000

(33 1/3 %) for attorney fees (¶3.2.2);

o Up to $15,000

for costs of litigation (Ibid.);

o Up to $7,500 for a Class Representative Service Award (¶3.2.1);

o Up to $5,000 for settlement administration

costs (¶3.2.3);

§

Settlement

administration costs are listed as $3,950 in ¶1.3 of the Settlement Agreement and as $5,000 in ¶3.2.3. The Notice lists administration costs as

$5,000, but parts of the moving papers list it as $3,950. (Notice, ¶3.2.) Clarify which amount is correct and revise

the Agreement and moving papers, as necessary.

o

Payment of $5,000

PAGA penalty ($3,250 or 65% to the LWDA) (¶3.2.5).

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Employer

Taxes. Defendants will

separately pay any and all employer payroll taxes owed on the Wage Portions of

the Individual Class Payments. (¶3.1)

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There is no claim

form requirement. (¶3.1)

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“Response

Deadline” means 60 days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) mail or email Requests for Exclusion from the Settlement, or (b) mail or email his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (¶¶1.43, 7.4.4) The same deadlines apply to submission of workweek disputes. (¶7.6)

o If more than 5 individuals in the Class opt out, Defendants have the right to void this Agreement. In addition, if the actual class size or Class Member Pay Periods and/or PAGA Pay Periods are more than 10% higher than the numbers represented by Defendants, then Plaintiff has the right to void this Agreement unless Defendants agree to a proportional increase in the Gross Settlement Amount. (¶9)

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Individual Payment Calculations.

The Administrator will calculate each Individual Class Payment by (a) dividing the Net Settlement Amount by the total number of Class Member Pay Periods worked by all Class Members and (b) multiplying the result by each

Participating Class Member's Class Member Pay Periods. (¶3.2.4)

Non-Participating Class Members will not receive any Individual

Class Payments. The Administrator will return to Defendants amounts equal to

what would have been paid to Non-Participating Class Members as their

Individual Class Payments. (¶¶3.2.4.2,

12.2)

o Why is the remainder not being distributed to the rest of the

Class Members based on the number of workweeks?

Provide justification for the reversion.

(Cundiff v. Verizon California, Inc. (2008) 167 Cal.App.4th 718,

728–729.)

o Tax Allocation:

20% wages; 80% interest and penalties. (¶3.2.4.1)

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Individual PAGA

Payment: The Administrator will calculate

each Individual PAGA Payment by (a) dividing the amount of the Aggrieved

Employees' 35% share of PAGA Penalties ($1,750.00) by the total number of PAGA

Period Pay Periods worked by all Aggrieved Employees during the PAGA Period and

(b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (¶3.2.5.1)

If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.2.5.2)

o

Tax Treatment: The Administrator will report the Individual PAGA Payments on IRS Form 1099-MISC. (¶3.2.5.2)

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Funding

of Settlement: Defendants shall fully fund the Gross Settlement Amount of $120,000.00 plus the amount necessary to fully pay Defendants' share of payroll taxes, by transmitting the funds to the Administrator by the later of (a) 65 days after the Effective Date or (b) July 1, 2026.

(¶4.3)

o "Effective Date" means the date by when both of the following have occurred: (1) the Court enters a Judgment on its order granting Final Approval of the Settlement; and (2) the Judgment is final. The Judgment is final as of the latest of the following occurrences: (a) if no Participating Class Member objects to the Settlement, the day the Court enters Judgment; (b) if one or more Participating Class Members objects to the Settlement, the day after the deadline for filing a notice of appeal from the Judgment; or if a timely appeal from the Judgment is filed, the day after the appellate court affirms the Judgment and issues a remittitur. (¶1.18)

o Verified Financial Documents and Information. Within 14 days of full execution of this Agreement, Defendant Safier shall produce his personal tax returns for fiscal years 2021 to 2023 and he will provide a sworn verification or declaration stating that the profit and loss statements, balance sheets, and tax returns produced are true and correct copies of his actual business records and, to the best of his knowledge, contain accurate and truthful information therein; that Defendant 11 Pier Ave. LLC earned roughly $500,000 in 2023, then lost roughly $510,000 in 2024 and that Defendant 11 Pier Ave. LLC lost an additional $275,000 as of May 2025; that the $1,005,000 appearing on the produced balance sheets as a “Loan to Others” is money that was in part paid out in connection with the acquisition and furnishing of the Tipsy Chef, a now defunct restaurant in Santa Monica, as well as other payouts, all of which represent bad debt, i.e. are not recoverable; and Defendant Safier showed negative global AGI for fiscal years 2021 to 2023 on his personal tax returns. Plaintiff will represent to the Court that there are inability to pay issues based on the verified financial documents but Plaintiff will not file those documents or provide granular details unless requested by the Court for an in camera discussion. (¶12.20)

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Distribution. Within 14 days after Defendants fund the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments.

(¶4.4)

o The Administrator will issue checks for the Individual Class Payments and/or Individual PAGA Payments and send them to the Class Members via First Class U.S. Mail, postage prepaid. The Administrator will send checks for Individual Class Payments to all Participating Class Members (including those for whom Class Notice was returned undelivered). The Administrator will send checks for Individual PAGA Payments to all Aggrieved Employees including Non-Participating Class Members who qualify as Aggrieved Employees (including those for whom Class Notice was returned undelivered). The Administrator may send Participating Class Members a single check combining the Individual Class Payment and the Individual PAGA Payment. Before mailing any checks, the

Settlement Administrator must update the recipients’ mailing addresses using

the National Change of Address Database. (¶4.4.1)

o The Administrator must conduct a Class Member

Address Search for all other Class Members whose checks are returned

undelivered without a United States Postal Service (“USPS”) forwarding address.

Within 7 days of receiving a returned check the Administrator must re-mail

checks to the USPS forwarding address provided or to an address ascertained

through the Class Member Address Search. The Administrator need not take

further steps to deliver checks to Class Members whose re-mailed checks are

returned as undelivered. The Administrator shall promptly send a replacement

check to any Class Member whose original check was lost or misplaced, requested

by the Class Member prior to the void date.

(¶4.4.2)

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Uncashed

Settlement Checks. The face of each

check shall prominently state the date (180 days after the date of mailing)

when the check will be voided. The Administrator will cancel all checks not

cashed by the void date. (¶4.4.1) For any Class Member whose Individual Class

Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date or returned as undelivered after being re-mailed and any otherwise unpaid cash residue and unclaimed or abandoned funds, the Administrator shall transmit the funds represented by such checks to Legal Aid at Work, a Court-approved nonprofit organization or foundation consistent with Code of Civil Procedure section 384, subdivision (b) ("Cy Pres Recipient"), thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b). The Parties, Class Counsel and Defense Counsel represent that they have no interest or relationship, financial or otherwise, with the intended Cy Pres Recipient. (¶4.4.3)

o

Hannah

Gunio declares that she does not "have any interest, relationship, or involvement with the proposed cy pres beneficiary, Legal Aid at Work." (Declaration of Hannah Gunio, ¶9.)

o The existence

of a cy pres necessarily implies that there will be an "unpaid residue" comprising uncashed settlement checks, and the funds from those uncashed settlement checks will be directed to the cy pres. Please remove "thereby leaving no 'unpaid residue' subject to the requirements of California of Civil Procedure Section 384, subd. (b)" from ¶4.4.3.

o

Detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384, which requires that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

o Why is it proper for Aggrieved Employees' uncashed checks to be directed to a cy pres recipient instead of the State Controller's Unclaimed Property Fund?

o

Explain why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

o

Provide declarations disclosing the interest or involvement (or lack thereof) by Plaintiff's counsel, Defendants' counsel, and Defendant in the governance or work of the cy pres recipient. Alternatively, direct all uncashed checks to the State Controller's Office.

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ILYM

Group, Inc. will act as administrator for the settlement. (¶¶1.2, 7.1; see Declaration of Lisa

Mullins.)

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The proposed

Settlement Agreement was submitted to the LWDA on June 1, 2026. (Elster Decl., ¶2.)

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Participating

class members and the named Plaintiff will release certain claims against

Defendant. (See further discussion below.)

ANALYSIS

OF SETTLEMENT AGREEMENT

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Does a presumption of fairness exist?

1. Was the settlement reached through arm’s-length

bargaining? Yes. On

May 14, 2025, the parties attended a full-day mediation presided over by Craig

Ackermann, Esq. of Employment Mediation Corp., but did not reach a

settlement. (Elster Decl., ¶9.) Prior to the second mediation, Defendants

provided Plaintiff with documents corroborating their financial status and data

regarding a subset of the original putative class. (Ibid.) On July 14, 2025, the parties participated in

a second mediation with Mr. Ackermann, which resulted in a settlement. (Id. at ¶10.) A copy of the Class Action and PAGA

Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to counsel Elster's declaration as Exhibit 1. (Id. at ¶2, Ex. 1.)

2. Were investigation and discovery sufficient to allow counsel and the court to act intelligently? Yes. Class Counsel represents that, prior to mediation, the parties conducted informal discovery and investigation of the facts and law regarding a sample of putative class members. (Elster Decl., ¶7.) The investigation included Defendants' production of extensive data and discoverable information, including: (1) time records, (2) payroll records, (3) wage statements, (4) purported meal break waivers, (5) Vista Employee Handbook, (6) anonymous identification of 33 non-exempt employees between February to October 2022, and (7) information regarding Vista's financial circumstances. (Ibid.) Defendants also expressed financial constraints regarding their ability to pay a settlement. (Id. at ¶8.) Based on this information, Plaintiff's counsel estimated Defendants' maximum potential damages. (Ibid.)

Provide more information regarding the sample, such as the percentage of data reviewed, and whether counsel relied on an expert's analysis. Demonstrate that the sample is statistically reliable.

3. Is counsel experienced in similar litigation? Yes. Class Counsel represents that he is

experienced in class action litigation, including wage and hour class actions. (Elster Decl., ¶¶22-26.)

4. What percentage of the class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ["Should the

court receive objections to the proposed settlement, it will consider and

either sustain or overrule them at the fairness hearing."].)

CONCLUSION: The settlement is entitled to a presumption

of fairness.

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Is the settlement fair, adequate, and reasonable?

1. Strength of Plaintiff's case. "The most

important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in

settlement." (Kullar v. Foot Locker

Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Class Counsel

provided information, summarized below, regarding the potential value of each

claim asserted:

Violation

Potential

Exposure

Meal Break Violations

$114,002

Wage

Statement Violations

$95,800

Waiting

Time Penalties

$76,500

Conversion

$43,000

Minimum

Wage

$25,410

PAGA

$24,100.00

TOTAL

$378,812

(Elster

Decl., ¶¶14-19.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See Weinstat v. Dentsply Intern., Inc. (2010) 180 Cal.App.4th 1213, 1226 ["Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate."].)

4. Amount offered in settlement. Plaintiff calculated Defendants' potential exposure at $378,812. The $120,000 settlement amount represents approximately 31.7% of Defendants' potential damages, which is in the ballpark of reasonableness.

The $120,000 settlement amount, if reduced by the requested deductions, will leave $47,500 to be divided among approximately 33 class members. The resulting payments will average $1,439.39 per class member [$47,500 Net / 33].

5. Extent of discovery completed and stage of the

proceedings. As indicated above, at the time of the

settlement, Class Counsel conducted sufficient discovery.

6. Experience and views of counsel. The

settlement was negotiated and endorsed by Class Counsel who, as indicated

above, is experienced in class action litigation, including wage and hour class

actions.

7. Presence of a governmental participant. This

factor is not applicable here.

8. Reaction of the class members to the proposed

settlement. The class members'

reactions will not be known until they receive notice and are afforded an

opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the final

fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed

"fair, adequate, and reasonable."

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Scope of the release

Effective on the date when Defendants fully fund the entire

Gross Settlement Amount, Plaintiff, Participating Class Members, and Aggrieved Employees will release claims against all Released Parties and Defendants will release claims against Plaintiff as follows: (¶5)

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Release by

Participating Class Members: All

Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors and assigns, release Released Parties from any and all claims arising during the Class Period and alleged in the Operative Complaint and the PAGA Notice, and all claims that arise from the claims and legal theories and primary rights associated with the claims alleged in the Operative Complaint, amended complaints, and the PAGA Notice, including claims for meal break violations, wage statement violations, conversion, failure to pay minimum wages, and unfair business practice claims based on the foregoing. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation or claims based on facts occurring outside the Class Period. (¶5.2)

o

Third Amended

Complaint will be the Operative Complaint.

(¶1.46)

o

The

Participating Class Member Release in the Settlement Agreement at ¶5.2 is

overbroad. The Release must be limited

to claims alleged in the Operative Complaint or claims which could have been reasonably

alleged in the Operative Complaint based on the facts and claims actually

alleged in the Operative Complaint.

Class members should not release claims alleged in the PAGA Notice or “claims

that arise from the claims and legal theories and primary rights associated

with the claims alleged in the Operative Complaint, amended complaints, and the

PAGA Notice.” (Agreement, ¶5.2.) Revise accordingly.

.

Release by

Aggrieved Employees: All Aggrieved

Employees are deemed to release, on behalf of themselves and their respective

former and present representatives, agents, attorneys, heirs, administrators, successors and assigns, the Released Parties from all claims arising during the PAGA Period for civil penalties alleged in the PAGA Notice and based on the Labor Code claims alleged in the Operative Complaint. (¶5.3)

o

The Aggrieved Employee Release should be limited to claims alleged in the PAGA Notice and the Operative Complaint or claims that could have reasonably been alleged in the PAGA Notice or Operative Complaint.

Aggrieved Employees should not release claims "based on the Labor Code claims alleged in the Operative Complaint."

(Agreement, ¶5.3) Revise accordingly.

o

"PAGA Notice" means Plaintiff's September 30, 2024 letter to Defendants and the LWDA providing notice pursuant to Labor Code section 2699.3. (¶1.33; Elster Decl., ¶4, Ex. 2.)

o

Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.3 of this Agreement and are eligible for an

Individual PAGA Payment. (¶7.5.4)

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Plaintiff

will additionally provide a general release and §1542 waiver. (¶5.1)

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Defendants'

Release: Defendants and their

respective former and present spouses, representatives, agents, attorneys,

heirs, administrators, successors and assigns generally, release and discharge

Plaintiff from all claims, transactions or occurrences that might have occurred

during the Class Period, including, but not limited to all claims purportedly

based on theft and/or conversion and similar claims related to misuse of

Defendants' assets (e.g., unauthorized comping of items). Defendants

acknowledge that Defendants may discover facts or law different from, or in

addition to, the facts or law that Defendants now know or believe to be true

but agree, nonetheless, that Defendants' Release shall be and remain effective

in all respects, notwithstanding such different or additional facts or

Defendants' discovery of them. (¶5.4) Defendants also provide a §1542 waiver. (¶5.4.1)

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"Released Parties" means Defendants and all of their subsidiaries, affiliates, current and former shareholders, owners, members, agents, employees, predecessors, successors, assigns, PEO's, and insureds. (¶1.41)

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May conditional class certification be granted?

1. Standards

A

detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1807 fn. 19.) Finally, the Court is under no "ironclad requirement" to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 240.)

2. Analysis

a. Numerosity.

There are approximately 33 Class Members. (MPA at 10:13-25.) This element is met.

b. Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable through Defendants’ records. (MPA at 10:13-25.)

c. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, common questions include: (i) whether Defendants converted tips intended for Class Members; (2) whether Defendants provided meal breaks to the Class; (iii) whether Defendants paid the full minimum wage to the Class; (iv) whether Defendants provided accurate itemized wage statements to the Class; (v) whether Defendants paid all wages due at the end of Class Members’ employment; (vi) whether Defendants engaged in unlawful or unfair business practices affecting the Class in violation of the UCL. Moreover, Class Members were subject to the same practices and Class Counsel's review of documents indicates Class Members experienced a common set of Labor Code violations. These circumstances raise the same questions of liability to all Class Members. Because Class Members would have to prove the same issues of law and fact to prevail, and because their potential legal remedies are identical, it would be preferable to resolve all Class Members' claims by means of the Settlement than to require each Class Member to litigate his or her individual claims. (MPA at 11:4-27.)

As to typicality, Plaintiff, like other Class Members, was employed by Defendants as a non-exempt tipped employee during the period of February to November 2022 and was subject to the same practices. Plaintiff was also subject to the same practices as all Class Members regarding meal breaks and the requirement to pay the full minimum wage. Plaintiff alleges that she shares the same claims as other Class Members arising out of the same alleged violations of the Labor Code. Defendants' defenses would also apply equally to the claims of all Class Members. (MPA at 12:2-14.)

Finally, as to adequacy, Plaintiff is represented by experienced counsel, does not have any conflicts of interest with other Class Members, and has been active in the litigation of the case. (MPA at 12:15-27; see Declaration of Hannah Gunio.)

d. Adequacy of class counsel. As

indicated above, Class Counsel has shown experience in class action litigation,

including wage and hour class actions.

e. Superiority. Given the relatively small size of the

individual claims, a class action appears to be superior to separate actions by

the class members.

CONCLUSION: The class may be conditionally certified

since the prerequisites of class certification have been satisfied.

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Is the notice proper?

1. Content of class notice. The proposed notice is attached to the Settlement Agreement as Exhibit

A. Its content appears to be acceptable. It includes information such as: a summary of

the litigation; the nature of the settlement; the terms of the settlement

agreement; the proposed deductions from the gross settlement amount (attorney

fees and costs, enhancement awards, and administration costs); the procedures

and deadlines for participating in, opting out of, or objecting to, the

settlement; the consequences of participating in, opting out of, or objecting

to, the settlement; and the date, time, and place of the final approval

hearing.

o

There

is no indication that the Class Notice will be sent in any language other than

English. Explain why an English-only

notice is sufficient.

o

Ensure

that the definition of “Class Member” presented on page 1 of the Notice

clarifies that the settlement refers to “all current and former non-exempt

hourly-paid employees.” (Agreement, ¶1.5)

o

The

amount of litigation costs is listed as $10,000 in the Notice at ¶3.2; whereas

the amount of litigation costs is listed as $15,000 in the Agreement at ¶3.2.2. Clarify which amount is correct and revise

the Notice or Agreement, as necessary.

o

The

Notice does not define “Released Parties,” as set forth in ¶1.41 of the

Agreement. (Notice, ¶¶3.9-3.10)

o The Notice at ¶¶6 and 7 should clarify that requests

for exclusion and written objections may be submitted to the Administrator via email or mail, as set forth in the Settlement Agreement at ¶¶1.43, 7.5.1, 7.7.2.

2. Method of class notice.

Class Data: Not later than 15 days after the Court grants Preliminary Approval of the Settlement, Defendants will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2)

Notice will be mailed. Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class USPS mail, the Class Notice. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3) The deadlines for Class Members' written objections, Challenges to Class Member Pay Periods and/or PAGA Pay Periods and Requests for Exclusion will be extended an additional 14 days beyond the 60 days otherwise provided in the Class Notice for all Class Members whose notice is re-mailed. The Administrator will inform the Class Member of the extended deadline with the re-mailed Class Notice.

(¶7.4.4)

If the

Administrator, Defendants or Class Counsel is contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone, and in good faith, in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this Agreement not later than 14 days after receipt of Class Notice, or the deadline dates in the Class Notice, which ever are later. (¶7.4.5)

Class

Members may verify the date and time of the Approval Hearing by contacting

Class Counsel. (Notice, p. 9, ¶8.)

Class

Members may get a copy of the Judgment by calling or sending an email to the

Class Counsel or Administrator. (Notice,

p. 9, ¶9.)

3. Cost of class notice. As

indicated above, settlement administration costs are estimated to be $5,000.

Prior to the time of the final fairness

hearing, the administrator must submit a declaration attesting to the total

costs incurred and anticipated to be incurred to finalize the settlement for

approval by the Court.

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Attorney fees and costs

CRC

rule 3.769(b) states: “Any agreement, express or implied, that has been entered

into with respect to the payment of attorney fees or the submission of an

application for the approval of attorney fees must be set forth in full in any

application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to $40,000 (33 1/3 % of GSA) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs (capped at $15,000) sought by detailing how they were incurred.

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Incentive Award to Class Representative

The named Plaintiff will request an enhancement award of $7,500. In connection with the final fairness hearing, Plaintiff must submit declarations attesting to why he or she should be entitled to an enhancement award in the proposed amount. Plaintiff must explain why he or she "should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.' Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was 'necessary to induce [the named plaintiff] to participate in the suit . . . .'" (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of final approval.